

‘It ruined my life – I’ve worked so hard and have nothing to show for it except massive debt,’ she wailed while huddled on the carpet in the foetal position.

Anger, sorrow and despair hit us like the Boxing Day rush at Myer. This girl was in her 30s and while her working life was a success, hidden behind that was someone who was almost beyond repair, no matter how many Louis Vuitton bags she had hanging off her arm and no matter how much she lit up a room when she strode through the door.

Not that I could blame her. Emily, in racing parlance – I am a horse-racing writer of more than 40 years – was bred to shop. Her late grandmother, my mother, could shop till she dropped. They shared the same lack of confidence and self-love that shopping and spending compensated for. Their mantra was, ‘If I don’t feel good, at least I will look good.’ The apple may have skipped a generation, but it didn’t fall far from the tree and, in Emily’s case, had fermented into a high-grade cider.

The first thing we needed to know was the extent of the damage. It took a while to get to the heart of the matter, and while it was frightening, it wasn’t beyond repair – over time. Time and its mates, patience and discipline, were to become Emily’s best friends.

We had one advantage. My wife, Glynis, and I had been through this ourselves years prior when a failed business venture left us with unwanted debt and few options out of the mire. It was budgeting that resurrected our finances, and it would be a budget that would do the same for Emily.

Budgets only work if there is discipline. The rules must be strictly adhered to.

First, we established all of her financial commitments on an annual basis, converted to a weekly cost – i.e., we added up her mobile phone bills for 12 months and divided the total by 52. We did the same for all of her other bills, such as gas and electricity, and car loans.

Once we established weekly costs, what was left over was for food, recreation, paying off debt and, if Emily could manage it in those early days, savings. So, after we’d outlined what Emily